

COMMITTEE STAFF SUMMARY

City Life Committee

Resolution (Document 2026-270): Accept the Future of Large-Scale Performing Arts recommendations to advance a new Broadway-capable venue as part of the proposed Performing Arts + Culture Center at Portland State University, and initiate planning for the future of the Keller Auditorium

Action Date: August 11, 2026

Council Action: Referred to Council as amended with a recommendation it be adopted

Vote: 4-1-0

Ayes: Morillo, Zimmerman, Avalos, Pirtle-Guiney

Nays: Ryan

Absent: N/A

Impact Statements: Financial and budgetary impacts; Economic and real estate development impacts; Community impacts and community involvement; 100% renewable goal; and Economic and real estate development analysis

Prepared by: Kevin Alvarez, Policy Analyst, Council Operations

Committee Meeting: July 28, 2026 ([recording and transcript](#)) August 11, 2026 ([recording and transcript](#))

WHAT THE RESOLUTION DOES:

The resolution (document number 2026-270) accepts the recommendations of the City's Future of Large-Scale Performing Arts work and supports advancing planning and predevelopment for a potential new, City-owned, approximately 3,000-seat Broadway-capable venue as part of the proposed Performing Arts + Culture Center at Portland State University (PSU) to be located at 310/330 SW Lincoln Street, with a goal of opening in 2030 and capitalizing on the state's capital funding commitment of \$137.5 million. It directs the Deputy City Administrator to stand up a staff project team of technical experts with PSU to complete predevelopment functions including a detailed financial plan with a fully defined capital stack and a comprehensive philanthropic strategy, and a Project Commitment Agreement with PSU by December 1, 2026. The Project Commitment Agreement establishes the scope, schedule, and governance framework for the project, designates a predevelopment steering committee, and initiates future planning for the Keller Auditorium as a renovated 1,200 to 1,800-seat venue, including community engagement, a market study, financial analysis, and initial design work. Programming, including Broadway shows, would continue at the Keller Auditorium while the Project Commitment Agreement is developed. As amended in committee, the resolution does not authorize, appropriate, or commit City funds for development or construction beyond funding previously authorized by the City Council, and requires the Deputy City

Administrator to return to Council with a detailed financial plan before executing any agreement that financially obligates the City.

ISSUES DISCUSSED:

- Distinction between supporting the project's direction and financially committing the City, with the City Administrator stating that the resolution would not commit the City financially and that only area infrastructure needs have been evaluated to date
- Clarified that the proposed venue is not part of the Portland's Centers for the Arts portfolio, and that operations, maintenance, and identification of an operator would be established through a future contractual agreement
- Reviewed the state's funding commitment, with PSU explaining that the allocation is made to the University for the education and parking components and that no state funding is currently identified for the Broadway-capable venue
- Use of \$44 million that PSU described as an estimate for design and cost while the City Administrator's office could not verify its use
- Whether predevelopment costs paid by the City would be reimbursed if the project were abandoned, with staff indicating the question would be resolved in a development agreement
- The combined financial exposure of a new venue and future investment at the Keller Auditorium, with the administration indicating that options and funding plans remain under internal review

AMENDMENTS:

Four amendments were approved by the City Life committee on August 11, 2026. *Avalos 1* downgrades the central commitment clause from the City's commitment to a new, approximately 3,000-seat Broadway-capable venue at PSU to supporting planning and pre-development for a *potential* venue. It conditions that support on future City Council review and approval of the project's financial plan, capital funding strategy, and City financial obligations.

Avalos 2(a) strikes "return on invested capital" from the list of pre-development financial plan deliverables and adds a clause stating that adopting the resolution does not authorize, appropriate, or commit City funds beyond what Council has already approved. It further requires the Deputy City Administrator for Community and Economic Development Service Area (CEDSA) to return to Council with a full financial plan (i.e., capital stack, total project cost, proposed City contribution and funding sources, partner funding, ongoing operating and maintenance obligations, and material financial risk) before executing any agreement that financially obligates the City.

Avalos 3 rewrites the Project Commitment Agreement clause so that the City and PSU commit to developing a *proposed* capital funding strategy rather than developing and implementing a full strategy. It bars the agreement from obligating the City to provide capital funding or otherwise financially committing it to development or construction without subsequent Council approval.

Clark 2 adds operations and maintenance responsibilities to the pre-development financial plan and expands the Keller Auditorium clause so that City investment in facility upgrades and programming continues during PSU construction. It adds a new clause directing the City to identify and pursue funding

for an adopted Keller plan from Council, the State Legislature, Metro, the federal government, and other sources. It also requires that planning for Keller's future be conducted in tandem with the PSU project.

PUBLIC TESTIMONY IN COMMITTEE:

- Divided testimony on whether the City should commit to the project before a vetted budget, capital stack, and financing plan exists, with opponents citing deferred maintenance at Portland's venues and recent budget reductions, and supporters stating that a public commitment what unlocks philanthropic and private investment
- Condition of the Keller Auditorium, with supporters describing seismic, acoustic, sightline, accessibility, and backstage deficiencies that renovation would not resolve, and opponents describing the venue as operational and revenue-generating and renovation as the less expensive and more environmentally sound course
- Interest in avoiding a prolonged closure, with arts workers and IATSE Local 28 members supporting construction of a new venue before renovation to preserve touring revenue and employment, while other testimony questioned whether a Keller renovation would ultimately be funded once a new venue proceeds
- Issues of location and partnership, with supporters citing PSU's land development experience, and educational role alongside downtown revitalization benefits, and opponents citing the University's own financial condition and the effect on hotels, restaurants, and businesses near the existing site

BACKGROUND:

The Keller Auditorium was originally constructed more than a [century ago and largely rebuilt in the 1960s](#). It requires replacement or substantial remodeling to be made earthquake-safe and suited to modern Broadway productions. It is the most heavily attended City-run venue and the only Portland venue capable of hosting Broadway shows. In 2024, after hearing competing proposals to renovate the Keller and to build a new venue at PSU, the City Council adopted both: approving an eight-year plan under which construction at PSU would begin in 2027 and the venue would open in 2029, after which the Keller would close for renovation. A [City-commissioned study](#) released in early 2026 that recommended not renovating the Keller as a Broadway-capable venue. This finding was opposed by Save Keller, an effort funded by the Halprin Landscape Conservancy.

In June 2026, following seven months of review, a [steering committee of technical experts](#) recommended building a new Broadway-capable venue as part of the proposed Performing Arts + Culture Center at PSU while simultaneously creating an actionable plan to reimagine the Keller Auditorium or its site. After five months of review, a majority of a Mayor's ex officio table recommended a phased approach: advancing the PSU center, maintaining Broadway programming at the Keller during development, initiating planning for the Keller's future, and beginning renovation of the Keller into a 1,200 to 1,800-seat venue once the new venue becomes operational. Several members of the ex officio table did not support the recommendation. Both sets of recommendations were [presented to the committee on July 28, 2026](#), together with a proposed resolution intended to capitalize on the state's funding commitment of \$137.5 million.